

BigBear.ai Holdings, Inc.

BBAI NYSE

Neutral \$4.20 ▲ 0.48% 12M Price Target \$4.50 52-Week Range \$3.01 – \$9.39 Market Cap \$2.01B

BBAI: Panama Win Offsets Restatement Overhang; Reiterate Neutral

WHAT'S CHANGED

- Stock rallied ~9% over 5 sessions (\$3.84→\$4.20) on Panama cargo security deployment win, with volume peaking at 65.4M shares on 5/22 — a clear momentum/news-driven move on an international expansion data point.
- Simply Wall St (5/20) flagged active lawsuit and prior restatement concerns, reintroducing governance/reporting risk into the narrative just as backlog optimism (Zacks 5/25) was building.

IMPLICATIONS

The Panama deal validates BBAI's pivot from pure defense-IC exposure toward dual-use border/trade security — a higher-growth, internationally addressable TAM that could re-rate the backlog story if conversion accelerates. However, the restatement/litigation overhang materially constrains multiple expansion until clean financials and a fresh 10-Q reset confidence. Net-net, the thesis remains binary: catalyst-rich but capital structure (warrants, convertibles, dilution) keeps per-share economics fragile.

VALUATION

At \$2.01B market cap on ~\$185M FY26E revenue, BBAI trades at ~10.9x EV/Sales — a premium to defense IT peers (Leidos/SAIC at 1-2x) and roughly half PLTR's ~25x, reflecting growth optionality discounted by execution risk. Our \$4.50 base PT assumes ~9x FY27E sales on \$230M revenue; bull case (\$8) requires backlog-to-revenue conversion >40% and clean audit, bear (\$2.50) on dilution or contract slippage. Multiple compression is the dominant risk vector given negative FCF and ongoing share issuance.

KEY RISKS

- Securities litigation and prior restatement history create headline/disclosure risk and potential settlement liability.
- Continued cash burn (negative EBITDA) likely necessitates additional equity issuance, diluting holders at depressed prices.
- Customer concentration in US DoD/DHS exposes revenue to budget continuing-resolution risk and contract re-competes.

RECENT NEWS

BigBear.ai's Backlog Expands: Can Contract Wins Drive Revenue Growth? Zacks · 2026-05-25 13:17

Will First Panama Cargo Security Deal Mark a Turning Point in BigBear.ai's (BBAI) Global E... Simply Wall St. · 2026-05-22 14:09

Why BigBear.ai (BBAI) Is Still a Defense-AI Battleground Insider Monkey · 2026-05-22 07:18

Key Data

Price (USD)	\$4.20
12M Price Target	\$4.50
Upside / (Downside)	+7.1%
Market Cap	\$2.01B
FY2026E Revenue	\$185M
FY2027E Revenue	\$230M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$5.20	\$4.30	\$3.40
6 Months	\$6.50	\$4.75	\$3.00
1 Year	\$8.00	\$4.50	\$2.50
2 Years	\$11.00	\$6.00	\$2.00
5 Years	\$18.00	\$9.00	\$1.50
10 Years	\$30.00	\$12.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.59% 5D), Industrials (+2.28% 5D)

COLD SECTORS: Consumer Discretionary, Real Estate

ROTATION WATCH: Tech leadership combined with industrials strength favors defense-AI hybrids; capital is rotating toward names with government revenue visibility plus AI narrative leverage.

BYPRODUCT PLAY: Border/trade security spending tailwinds benefit adjacent names in biometrics (CLBT), autonomous surveillance (KTOS, AVAV), and edge-AI compute (AMBA) — BBAI sits at the software layer of this stack.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Commercial AIP traction driving consensus revenue revisions higher; trades at premium multiple BBAI bulls aspire to.
- KTOS (Kratos Defense): Unmanned systems backlog growth outpacing primes, demonstrating investor appetite for small-cap defense-AI exposure.

BBAI CONTEXT: BBAI is lagging — at 19% of 52-week range vs Tech sector +6.59% 5D, the stock is underperforming the rotation despite favorable news flow, suggesting overhead supply from restatement-period holders and skepticism on conversion.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$3.20-3.60 on pullbacks; avoid chasing above \$4.50

Time Horizon: 12-18 months pending backlog conversion

Thesis Invalidation: Backlog conversion stalls, further restatements, or dilutive raise >15% of share count

Hedging: Pair long BBAI vs short PLTR or basket of richer-multiple defense-AI names